

PAWs are builders of wealth—that is, they are the best at building net worth compared to others in their income/age category. PAWs typically have a minimum of four times the wealth accumulated by UAWs. Contrasting the characteristics of PAWs and UAWs is one of the most revealing parts of the research we have conducted over the past twenty years.

A good example of the difference between PAWs and UAWs is revealed in two case studies. Mr. Miller “Bubba” Richards, age fifty, is the proprietor of a mobile-home dealership. His total household income last year was \$90,200. Mr. Richards’s net worth, as computed via the wealth equation, is expected to be \$451,000. But “Bubba” is a PAW. His actual net worth is \$1.1 million.

His counterpart is James H. Ford II. Mr. Ford, age fifty-one, is an attorney. His income last year was \$92,330, slightly more than Mr. Richards’s. What is Mr. Ford’s actual net worth? His expected level of wealth? Mr. Ford’s actual net worth is \$226,511, while his expected level of wealth (again computed from the wealth equation) is \$470,883. Mr. Ford, by our definition, is an under accumulator of wealth. Mr. Ford spent seven years in college. How can he possibly have less wealth than a mobile-home dealer? In fact, Mr. Richards has nearly five times the net worth of Mr. Ford. And remember, both are in the same income/age cohort. In trying to answer the above question, ask yourself two simpler questions:

- ◆ How much money does it take to maintain the upper-middle-class lifestyle of an attorney and his family?
- ◆ How much money is required to maintain the middle-class or even blue-collar lifestyle of a mobile-home dealer and his family?

Clearly, Mr. Ford, the attorney, must spend significantly more of his household’s income to maintain and display his family’s higher upper-middle-class lifestyle. What make of motor vehicle is congruent with the status of an attorney? Foreign luxury, no doubt. Who needs to wear a different high-quality suit to work each day? Who needs to join one or more country clubs? Who needs expensive Tiffany silverware and serving trays?

Mr. Ford, the UAW, has a higher propensity to spend than do the members of the PAW group. UAWs tend to live above their means; they